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Provision of November 27, 2024

Register of Provisions

n. 737 of November 27, 2024

THE GUARANTOR FOR THE PROTECTION OF PERSONAL DATA

IN THE meeting today, attended by

Prof. Pasquale Stanzione, President, Dr.

Agostino Ghiglia and Attorney Guido Scorza, Members, and

Counsel Fabio Mattei, Secretary General;

HAVING REGARD to Regulation (EU) 2016/679 of the European Parliament

and of the Council, of April 27, 2016, concerning

the protection of natural persons with regard to

the processing of personal data, as well as the free

movement of such data and repealing Directive

95/46/EC (General Data Protection Regulation, hereinafter "Regulation");

HAVING REGARD to the Code regarding the protection of personal data

(legislative decree June 30, 2003, n. 196), as

amended by legislative decree August 10, 2018, n. 101, containing

provisions for the adaptation of the national

legal system to the aforementioned Regulation (hereinafter

"Code");

HAVING REGARD to the documentation on file;

HAVING REGARD to the observations made by the Secretary

General pursuant to Article 15 of the Guarantor's Regulation n. 1/2000;

REPORTING Prof. Pasquale Stanzione;

PREMISED

1. THE INSTRUCTIONAL ACTIVITY CARRIED OUT

On July 18, 2023, the Authority adopted

provision n. 323, with which an administrative sanction of

5,000 euros was imposed on Maximum International Corp. S.r.l. (hereinafter "Maximum" or

"Company"). The procedure was initiated following a complaint regarding the persistent receipt of

promotional phone calls on behalf of the Company even after the complainant had expressly opposed

during the unwanted contacts and through a formal request to exercise rights to which no response

was received.

With the aforementioned provision, the Authority noted

various critical issues in 2023 regarding the

fulfillments related to the information and consents

required through the online form available on

the relevant website (Articles 5, paragraph 1, letter a, 6

paragraph 1, letter a, and 7 of the Regulation), as well as the inadequate

management of the opposition expressed

by the complainant, which was not acknowledged

during the promotional phone calls, along with the

request to exercise the rights of access and deletion

that was not responded to by the Company (in violation of

Articles 12, paragraphs 2 and 3, 15, 17, and 21, paragraph 2, of

the Regulation); furthermore, the absence of

controls within the supply chain of partners promoting

Maximum products was sanctioned (Articles 5, paragraph 2,

24, and 25 of the Regulation).

Following the adoption of the aforementioned provision n. 323/2023 and until early 2024, further reports continued to arrive, including various communications from the complainant who initiated the previous procedure. These reports concerned the receipt of unwanted phone calls made in the interest of Maximum to even private numbers or those registered in the Public Opposition Register, and in any case in the absence of specific consent from the interested parties for the processing of data related to their phone numbers for promotional purposes. By note dated March 12, 2024 (ref. prot. n. 0030725/24), the Company was asked to provide observations, pursuant to Article 157 of the Code, regarding the aforementioned reports as well as “to communicate what initiatives have been undertaken [...] in order to implement what is prescribed in the [...] provision [...] n. 323 of July 18, 2023 and whether the Authority has been informed of such initiatives within the terms indicated in the same provision.” No response was provided to this request.

Therefore, with act n. 57072/24 of May 10, 2024 (notified the following May 13 via certified email), the Office initiated, pursuant to Article 166, paragraph 5, of the Code, a procedure for the adoption of the measures referred to in Article 58, paragraph 2, of the Regulation against Maximum due to the lack of response to the aforementioned request for information, thus in violation of Article 157 of the Code.

On June 12, 2024, the Company, pursuant to Article 166, paragraph 6, of the Code and Article 13 of the internal regulation of the Guarantor n. 1/2019, requested to be heard in the procedure initiated against it.

During the hearing, which took place on July 10, 2024, Maximum stated that it has not been involved in the sale of products to individuals since 2003 – 2005 but exclusively engages in the production of systems to be marketed to distributors; in particular, the Company reiterated what was already expressed in the previous procedure, declaring itself unrelated to the complained conduct, which is solely attributable to the concessionaires who would have acted for their own promotional purposes as data controllers.

The Company clarified that it did not oppose in the past to the sanctioning provision of the Authority “despite others being responsible for the violation.” Furthermore, it claimed to have convened, in September 2023 after the adoption of the sanctioning provision, all the companies concessionary of Maximum products, reminding them of the strict observance of Article 9 of the contract signed with them, since 2020/2021; this provision states that, during promotional contacts, the concessionaires must identify themselves

by their own name and possibly “as a concessionary company of Maximum.” In this regard, it produced, during the hearing, the aforementioned contracts.

jointly with a note, dated September 11, 2023, with which the Company informed the concessionary companies that it had made a payment of an administrative monetary fine to the Guarantor for violations regarding the protection of personal data for which it did not consider itself responsible, stating that “any further recall or sanction will be attributed to the reference agency.”

In confirmation of the autonomy recognized to the agencies in the direct sales activity of Maximum products to individuals, the Company provided a copy of the contract that these concessionaires entered into with XX, a company responsible for ensuring, for each of them, “privacy compliance,” that is, the conformity of processing to current regulations, including the identification of the Data Protection Officer (so-called DPO).

Regarding the reports subject to the request for information dated March 12, 2024, the Company attributed the responsibility for the complained calls to agency XX “which has provided a printout of its database used for contacts,” which all seem to be supported by prior marketing consent given by the recipients of the promotional communications. Furthermore, it stated that, as far as it is aware, this agency regularly checks, on a biweekly basis, the Public Opposition Register of the numbers to be contacted before each promotional campaign; this, at least, since the start date of the collaboration with the privacy consulting company, XX.

With reference to the failure to respond to the request for information dated March 12, 2024, made pursuant to Article 157 of the Code, the Company stated that this negligence is attributable to an error in the registration procedure by the secretary: in particular, the note from the Office, although regularly received, was not registered by the aforementioned employee, preventing the competent departments from processing it. “Following this incident – Maximum continued – which is nonetheless within the organizational responsibility of the Company, the employee responsible for registration has been replaced and all employees have been reminded of the importance of [...] processing communications from Administrative Authorities sent via certified email.”

Regarding the initiatives undertaken following the Guarantor's provision, on July 15, 2024, the Company communicated the recent changes made to its website, accessible at <https://www.maximumsrl.com/>, in order to align the processing with the regulations on the protection of personal data as well as the prescriptions issued by the Authority with the aforementioned provision. It also emphasized that it promptly activated measures to resolve the issues identified in the provision, holding the concessionary agencies accountable during the described meeting in September 2023. However, the Company clarified that it did not inform the Authority of the initiatives undertaken as the provision adopted against it, sent to the certified email of Maximum, was not notified to the addresses actually indicated in the procedure.

For the reasons outlined above, the Company requested the archiving of the proceedings initiated against it “and, in any case, the non-adoption of any sanctioning measure.”

2. LEGAL ASSESSMENTS

Based on the statements of Maximum, for which the declarant is responsible pursuant to Article 168 of the Code, and considering the documentation produced during the hearing, the following legal assessments are made.

Unlike what emerged in the investigation related to the previous provision, Maximum provided, during the current proceedings, evidence supported by external confirmations suitable to prove its lack of involvement in the conduct complained of in the reports received by the Authority. This conduct, in light of the aforementioned confirmations, appears to be solely attributable to the concessionary agencies that would have acted as independent data controllers. In particular, the third-party company that would have made the unwanted contacts for marketing purposes was identified as an independent data controller, deviating from the contractual provision to identify itself with its corporate name. Against this company, for a complete assessment of the aspects related to the lawfulness of the

processing in question, the Authority has initiated a separate investigation.

It should also be added that Maximum, during the hearing, represented that over time its activity has been limited to the production of systems and not to the marketing of the same. Based on this entrepreneurial choice, therefore, the relationship that currently exists between Maximum and the concessionary companies of its products is comparable to that between producers and retailers of a particular good. This is also evidenced by the fact that the concessionary companies have established an independent organization not only concerning the contact of potential customers but also regarding the overall structuring of personal data processing. Proof of this is that these concessionaires have independently commissioned a third-party company to verify the full compliance of the processing in question. It is worth adding, on this point, that Maximum, due to its choice also related to the relationships with the aforementioned concessionaries, did not assert the above-described circumstance during the

preceding provision, relying on the awareness of such companies following the observations highlighted by the Company and taking on the burden of defining the procedure through the payment of the imposed sanction. This choice, dictated solely by the reasons of opportunity highlighted by Maximum, does not appear to be in contrast with the statements made by the same in the current proceeding which, in light of the previously mentioned findings, allow for the outlining of the new framework of responsibilities in relation to the facts in question.

While acknowledging the new distribution of responsibilities in processing, it must be noted that this circumstance does not absolve Maximum of responsibility for failing to respond to the Authority's request for information.

In this regard, it should be noted that the request for information was addressed exclusively to the Company and it was clearly stated therein that, in the event of non-compliance, "the administrative monetary sanction provided for by art. 166, paragraph 2, of the aforementioned Legislative Decree No. 196/2003" would be applicable. Therefore, Maximum was the sole recipient of the request for information and should have, in any case, provided a timely and complete response to the Authority, in light of the overall duties of collaboration identified by art. 31 of the Regulation and by art. 157 of the Code.

Only during the hearing did Maximum present the reasons for the lack of response attributed to alleged negligence of one of its employees and stated, on this point, that it had introduced corrective measures to comply promptly with the requests of the interested parties and the Authority. Such statements, although deserving of consideration in the quantification of the sanction, are not sufficient to exclude the Company's responsibility, given that it is

accountable, for the contested administrative aspects, also in relation to the conduct of employees included in the corporate organization and subject to its direct authority and oversight. It should also be added, with reference to the failure to communicate to the Authority the initiatives undertaken following provision No. 323 of July 18, 2023, that while acknowledging that it was notified to Maximum's certified email and not to the addresses actually indicated during the proceeding, it is represented that this procedural flaw certainly did not prevent the Company from becoming aware of the decision of the Guarantor. By express admission of the party, it was well aware of the provision sent to its certified email address and, in this regard, it is appropriate to add that Legislative Decree No. 76/2020 (the so-called "simplification decree"), converted with amendments by Law No. 120/2020, has qualified, in art. 37, the certified email address of companies as a "digital domicile" valid for electronic communications having legal value (see provision No. 126 of April 7, 2022, web doc No. 9771529; see provision No. 23 of January 27, 2022, web doc No. 9746068). Therefore, considering that Maximum's certified email address was fully operational and since the delivery of the provision was followed by positive actions on the part of the Company in order to comply with the prescriptions contained therein, it must be deemed that full knowledge of the act in question was achieved, from which a judgment of overall negligence on the part of the holder in relations with the Authority arises, particularly with regard to the obligations of collaboration and information, a judgment that further supports and proves the assessment of responsibility in relation to the contested failure to respond mentioned in the previous paragraphs.

3. CONCLUSIONS

In light of the above, the contested violation noted in the initiation of the proceeding of May 10, 2024, must be considered confirmed as the Company did not respond to the Authority's request for information of March 12, 2024, and this conduct, far from constituting a sporadic and occasional incident, has proven to be yet another episode of superficial management of requests received from the Guarantor, as demonstrated by the aforementioned circumstance of the failure to communicate regarding the prescriptions imposed by the provision of July 2023.

However, considering that Maximum has already

adopted corrective measures for a timely response to the Authority's requests, and acknowledging the initiatives undertaken immediately after the adoption of the sanctioning provision of 2023 regarding the promotional activities of the concessionary companies, it does not seem necessary to impose further prescriptions but, having established the described violation of art. 157 of the Code, it is believed that the conditions exist for the application of an administrative monetary sanction pursuant to arts. 58, paragraph 2, letter i) and 83, paragraph 5, of the Regulation.

4. ORDER FOR THE APPLICATION OF THE ADMINISTRATIVE MONETARY SANCTION

The conduct described above, constituting a violation of art. 157 of the Code, requires the adoption of an order for injunction, pursuant to arts. 166, paragraph 7, of the Code and 18 of Law No. 689/1981, for the application against Maximum of the administrative monetary sanction provided for by art. 83, paragraph 5, of the Regulation.

For the determination of the amount of the sanction, which must "in any case [be] effective, proportionate and dissuasive" (art. 83, paragraph 1, of the Regulation), it is necessary to take into account the elements indicated in art. 83, paragraph 2, of the Regulation.

As circumstances to be considered in

In the specific case, the following aggravating factors must be considered:

- 1) The severity of the violation, taking into account the repeated omissions by Maximum, which provided late responses to the notes sent by the Authority and only after the initiation of the present proceeding; this pertains both to the communication of compliance with the requirements of the 2023 provision and, lastly, regarding the request for information pursuant to Article 157 of the Code dated March 12, 2024 (Article 83, paragraph 2, letter a of the Regulation);
- 2) The negligent nature of the conduct, considering that the Company acted carelessly with respect to the obligations arising from the regulations on personal data protection; in fact, it should be noted that the occurrence of human error as a reason for the omission is indicative, in itself, of inadequate training of the collaborators, as well as insufficient organizational measures aimed at tracking the activities carried out on behalf of Maximum (Article 83, paragraph 2, letter b of the Regulation);
- 3) The fact that the Company has already been subject to a sanctioning measure concerning the issue of telemarketing from which the present proceeding originated (Article 83, paragraph 2, letter e of the Regulation).

As mitigating factors, the following should be taken into consideration:

- 1) The measures adopted, albeit late and after the initiation of the present proceeding, to avoid future disruptions in receiving requests from the Authority, along with the initiatives undertaken to align the processing with the requirements imposed by the 2023 provision (Article 83, paragraph 2, letter c of the Regulation).

In an overall perspective of necessary balance between the rights of the data subjects and the freedom of enterprise, it is essential to prudently evaluate the aforementioned criteria, also in order to limit the economic impact of the sanction.

Therefore, it is believed that - based on the overall elements mentioned above - an administrative sanction of a payment of €10,000.00 (ten thousand) should be applied to Maximum, equivalent to 0.05% of the maximum administrative sanction of €20 million.

In this case, it is also believed that the accessory sanction of publication on the Authority's website of this injunction order should be applied, as provided for by Article 166, paragraph 7, of the Code and Article 16 of the Authority's Regulation No. 1/2019.

In implementation of the principles set forth in Article 83 of the Regulation, the imposition of such an accessory sanction appears proportionate due to the repeated omission and the aggravation of the times and costs of the proceeding, which results in a significant devaluation of the conduct itself.

Finally, it is noted that the conditions set forth in Article 17 of Regulation No. 1/2019 concerning internal procedures with external relevance, aimed at carrying out the tasks and exercising the powers assigned to the Authority, are met for the annotation of the violations identified here in the Authority's internal register, as provided for by Article 57, paragraph 1, letter u) of the Regulation.

ALL OF THE ABOVE CONSIDERED, THE AUTHORITY

pursuant to Article 57, paragraph 1, letter f), of the Regulation, declares the conduct of Maximum International Corp. S.r.l. - headquartered in Palermo, Contrada Zachia 90038, VAT No. 04434710820 - illegal, as described in the reasoning, consisting of the violation of Article 157 of the Code in relation to the failure to respond to the Authority's request for information;

ORDERS

pursuant to Article 58, paragraph 2, letter i), of the Regulation, Maximum International Corp. S.r.l., represented by its legal representative, to pay the sum of €10,000.00 (ten thousand) as an administrative pecuniary sanction for the violations indicated in the reasoning; it is noted that the offender, pursuant to Article 166, paragraph 8, of the Code, has the option to settle the dispute by paying, within 30 days, an amount equal to half of the imposed sanction;

ENJOINS

the aforementioned Company, in the event of failure to settle the dispute pursuant to Article 166, paragraph 8, of the Code, to pay the sum of €10,000.00 (ten thousand), according to the methods indicated in the attachment, within 30 days from the notification of this provision, under penalty of the adoption of subsequent enforcement actions in accordance with Article 27 of Law No. 689/1981;

DISPOSES

a) pursuant to Articles 154-bis of the Code and 37 of Regulation No. 1/2019, the publication of this provision as well as, pursuant to Article 166, paragraph 7, of the Code, the publication of this injunction order on the Authority's website;

b) pursuant to Article 17 of the Authority's Regulation No. 1/2019, orders the annotation in the Authority's internal register, as provided for by Article 57, paragraph 1, letter u) of the Regulation, of the violations and the measures adopted.

Pursuant to Article 78 of Regulation (EU) 2016/679, as well as Articles 152 of the Code and 10 of Legislative Decree No. 150 of September 1, 2011, an appeal against this provision may be filed with the ordinary judicial authority, with a petition submitted to the ordinary court of the place where the data controller resides, or, alternatively, to the court of the place of residence of the data subject, within thirty days from the date of communication of this provision, or sixty days if the applicant resides abroad.

Rome, November 27, 2024

THE PRESIDENT

Stanzione

THE RAPPORTEUR

Stanzione

THE SECRETARY GENERAL

Mattei